

August 6, 2026 04:06 PM GMT

King Slide Works Co. Ltd. | Asia Pacific

2Q26 Beat on 87% GM;
Momentum Sustaining Into
2H26

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Meaningful upside

Financial results versus consensus



Meaningful revision higher

Direction of next 12-month
consensus EPS

Source: Company data, Morgan Stanley Research

Another set of solid results to reassure the market about its earnings sustainability, entrenched by its dominant industry position. Stay OW.

2Q26 GM strong beat:

- Off revenue of NT\$10,830mn (+99% QoQ/+156% YoY), GM expanded 9.7ppt QoQ to 87.4% (vs. MSe/consensus at 78.1%/74.7%), which we think was mainly driven by a more favorable product mix.
- Opex was NT\$578mn (opex ratio 5.3%), lower than our estimate of NT\$707mn (opex ratio 6.5%) and consensus of NT\$494mn (opex ratio 5.5%)
- Operating profit came in at NT\$8,890mn (+143% QoQ/+200% YoY; OPM +15ppt QoQ to 82.1%), 15% higher than MSe of NT\$7,751mn (OPM 71.6%) and 43% higher than consensus of NT\$6,208mn (OPM 69.2%).
- With non-op gains of NT\$229mn, including FX loss of NT\$58mn, net profit was NT\$7,088mn (EPS NT\$74.38), 14%/42% above MSe/consensus at NT\$6,216mn (EPS NT\$65.22)/NT\$4,981mn (EPS NT\$53.59).
- July revenue was NT\$6,407mn (+44% MoM/+356% YoY). QTD revenue reached 52% of MSe at NT\$12,232mn (+13% QoQ/+180% YoY) and 68% of consensus at NT\$9,427mn (-13% QoQ/+116% YoY).

Our view:

- Once again, King Slide has demonstrated earnings growth sustainability, supported by its dominant industry position, against concerns over its market share and profitability. We think this could enhance the market conviction on its growth outlook ahead.
- While the 87.4% GM in 2Q26 was phenomenal, we would like to reiterate that King Slide's earnings growth looks more driven by revenue growth than margin expansion.
- Looking into 2H26, we think the strong July monthly sales indicate momentum should sustain to drive another quarter of impressive sequential growth on the top line vs. recent market expectations of 20-30% QoQ.
- 2Q26 earnings call at 2pm HKT on Aug 7th.

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Asia Summer School 2026

King Slide Works Co. Ltd. (2059.TW, 2059.TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$10,000.00
Up/downside to price target (%)	(1)
Shr price, close (Aug 6, 2026)	NT\$10,100.00
52-Week Range	NT\$10,100.00-2,735.00
Sh out, dil, curr (mn)	95
Mkt cap, curr (mn)	NT\$962,501
EV, curr (mn)	NT\$938,798
Avg daily trading value (mn)	NT\$3,513

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	103.23	251.07	328.77	390.77
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	100.25	211.53	282.09	381.25
Revenue, net (NT\$ mn)	17,501	40,888	53,803	64,198
EBITDA (NT\$ mn)	12,449	29,343	39,032	46,595
ModelWare net inc (NT\$ mn)	9,837	23,927	31,331	37,239
P/E	36.3	40.2	30.7	25.8
RNOA (%)	216.6	530.9	686.3	783.3
ROE (%)	46.2	85.4	71.1	56.7
EV/EBITDA	26.8	31.5	23.1	18.8
Div yld (%)	0.9	0.8	1.0	1.2
FCF yld ratio (%)**	2.9	2.5	3.2	3.9
Leverage (EOP) (%)	(84.6)	(89.9)	(92.9)	(94.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

King Slide Works Co. Ltd. (2059.TW)

Base case, 30x 2027e P/E. We use price/earnings as our valuation methodology because we believe it better captures King Slide's earnings growth potential. We believe our target multiple is justified by an operating profit CAGR of 56% seen for 2025-28, implying a PEG of 0.5 vs. the average of 1.2 over 2010-24, when the stock was trading at 17-18x P/E with an operating profit CAGR of 14%.

Risks to Upside

- Stronger-than-expected AI capex
- Stronger server demand
- Faster market share gains

Risks to Downside

- Softer AI capex
- Weaker server demand
- Sluggish kitchen furniture demand
- Competition leading to slower share gains.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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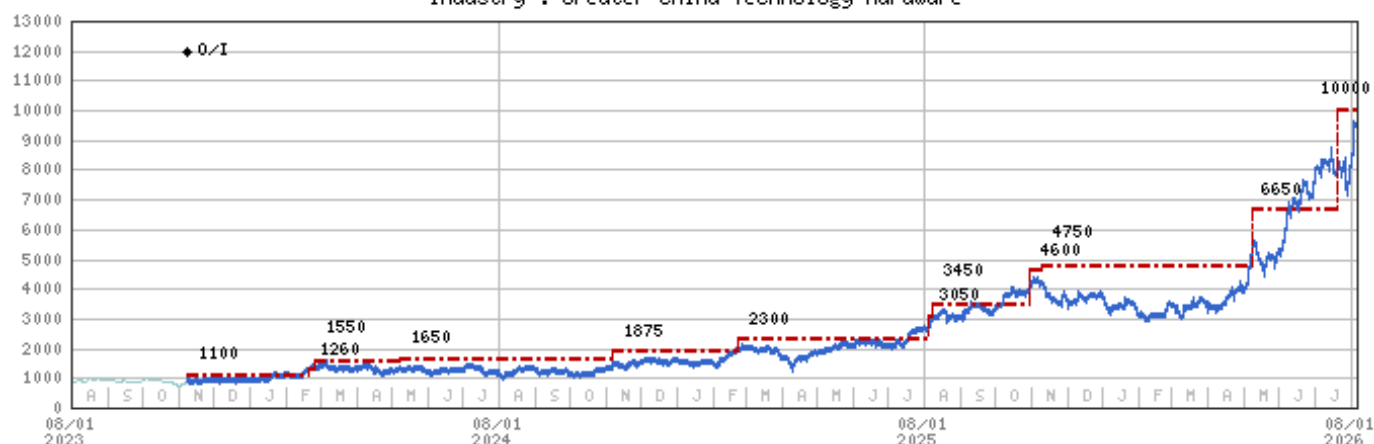
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Stock Price, Price Target and Rating History (See Rating Definitions)

King Slide Works Co. Ltd. (2059.TW) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 11/8/23 : O/I

Price Target History: 11/8/23 : 1100; 2/20/24 : 1260; 2/26/24 : 1550; 5/8/24 : 1650; 11/7/24 : 1875; 2/22/25 : 2300; 8/4/25 : 3050; 8/8/25 : 3450; 10/30/25 : 4600; 11/10/25 : 4750; 5/8/26 : 6650; 7/20/26 : 10000

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.04
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb175.49
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.98
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.01
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.02
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb421.87
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$547.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.44
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.77
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb37.45
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,625.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.45
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.74
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.90
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.99
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.18
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb49.52
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$35.32
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.40
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$58.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb225.28
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.76
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.86
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb328.25
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$117.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.07

Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.32
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb955.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.94
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.70
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,410.00
Advantech (2395.TW)	O (01/20/2021)	NT\$622.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,560.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,940.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.55
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,060.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,370.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.96
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,235.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,975.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,680.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$196.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,760.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$362.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.00
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$10,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.82
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$252.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.82
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.71
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb208.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.00
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$818.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$187.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.30
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.89
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb68.27
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$344.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$985.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$264.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb76.79
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,375.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$25.94
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,970.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,105.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$302.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb127.25
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb353.99
Unimicron (3037.TW)	O (02/23/2026)	NT\$973.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$372.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,265.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$570.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$482.00

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